

LEAVE MANUAL

VERSION 3.1

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Revision History

The revision history table below provides a record of all revisions made to this document throughout its life cycle. Updates are tracked by the date the revisions were made, the version number, a brief description of the changes made and reason, as well as the name of the reviser and the approver.

Effective Date	Version #	Change Description/ Reason	Prepared/ Revised By	Reviewed By	Approved By
1 st August 2022	1.0	Creation of policy	HR	Head – HR	MD/ Chief of Staff
1 st April 2024	2.0	Changes in the paternity & mandatory leaves policy	HR	Head – HR	Executive Director
1 st January 2026	3.0	1. New name proposed: Leave Manual 2. New leave categories added: i. Menstrual Leave ii. Sabbatical iii. Half Day Half Pay iv. Relocation/Transfer v. Compensatory Off (merged in) vi. Work from Home (merged in) 3. Deletion: Mandatory Leave 4. Internal Audit observations incorporated: i. Outdated approval authority updated ii. Wellness Leave formalized iii. Deemed present clarified for KMPs/SMPs iv. Maternity Benefit Act clauses added (job protection, nursing breaks, crèche facility) v. Auto-approval timeline updated and documented 5. Other inclusions/changes: i. Mention of staggered shifts added ii. Half-day requirement updated to 5.5 hours (including breaks)	HR	Head – BHR, TMOD & TA	CHRO
1 st April 2026	3.1	1. Addition: Mandatory Leave inclusion and guidelines 2. Modified Privilege Leave credit	HR	Head – BHR, TMOD & TA	CHRO

1. OBJECTIVE

The manual is aimed at provisioning the employees with a mechanism to balance work and personal life while contributing to the organizational goals. The leave manual outlines the types of leaves along with the process and criteria for availing them.

2. APPLICABILITY/ SCOPE

The manual is applicable to all full-time employees of Poonawalla Fincorp Limited.

3. ADMINISTRATION

Leave calendar will run from 1st April to 31st March of every year.

4. MANDATORY LEAVE

- 4.1. Mandatory Leaves are designed to promote employee wellbeing, encourage adequate rest, and support a healthy work–life balance by ensuring periodic disengagement from work responsibilities.
- 4.2. Mandatory Leave is applicable to all on-roll employees including those confirmed on or before 30 September.
- 4.3. Employees are required to avail five (5) consecutive working days of Mandatory Leave once per financial year, which will be debited from their Privilege Leave (PL) balance.
- 4.4. While applying for this leave, employees must select “Mandatory Leave” as the reason and ensure that the leave is taken for five (5) continuous working days, excluding weekends and declared holidays.
- 4.5. Mandatory Leave cannot be split, partially availed, carried forward, or encashed.
- 4.6. Managers are responsible for facilitating advance planning of Mandatory Leave, wherever feasible, outside business-critical periods and for ensuring compliance.
- 4.7. Employees are encouraged to avail of their Mandatory Leave once every financial year.

5. PRIVILEGE LEAVE (PL)

- 5.1. Employees are entitled to eighteen (18) working days of Privilege Leave (referred to as 'PL' hereafter) for each year of completed service. **Of these 18 days, 5 days must be availed as Mandatory Leave.**
- 5.2. PL will be credited to the employees' leave account on a pro-rata basis for every completed month of service. Example – 1.5 days of PL will be added at the end of every month of service.
- 5.3. Employees joining on or after 16th of a month will be eligible for a PL from the following month.
- 5.4. Weekly off or declared holiday(s) will not be deducted as a leave if clubbed as prefix or suffix or both.
- 5.5. Un-availed PL can be accumulated up to a maximum of 45 working days in a year. Any leaves over and above shall lapse.
- 5.6. Encashment of accumulated PL would be done only at the time of separation of employment.
- 5.7. The basis of encashment of PL would be the last drawn basic salary and will be paid after adjusting for any notice period dues, if applicable.

6. SICK LEAVE (SL)

- 6.1. Employees are entitled to twelve (12) working days of Sick Leave (referred as 'SL' hereafter) for each year of service.
- 6.2. Sick Leave will be credited to the employee's leave account all in advance on pro-rate basis (based on the date of joining).
- 6.3. In case of any sick leave for more than 3 days, an employee needs to produce a medical certificate.
- 6.4. Un-availed sick leave will lapse at the end of the leave period.

7. CASUAL LEAVE (CL)

- 7.1. Employees are entitled to twelve (12) working days of Casual Leave (referred as 'CL' hereafter) for each year of completed service.

- 7.2. CL will be credited to employee's leave account on a pro-rate basis. Example – One (1) leave will be added by the end of every month of service. Employees joining on or after 16th of a month will be eligible for a CL from the following month.
- 7.3. Un-availed Casual Leave will lapse at the end of the leave period.

8. MENSTRUAL LEAVE

- 8.1. To support the health and well-being of all PFL full time women employees by providing an additional leave option during their menstrual cycle.
- 8.2. One menstrual leave per month for all PFL full time women employees up to the age of 52.
- 8.3. This leave will be additional to existing leave balance.
- 8.4. Leave will be auto allocated on the 01st of every month and will lapse on the last day of the month.
- 8.5. This leave cannot be carried forward or encashed.

9. ANNUAL HEALTH CHECK UP LEAVE

- 9.1. Employees are entitled to one (1) day of leave in each financial year for the purpose of undergoing their annual personal medical checkup with the purpose of encouraging preventive healthcare and support employee well-being.
- 9.2. This leave is granted exclusively for the employee's own wellness and cannot be extended to family members or dependents.
- 9.3. Employees are entitled to one (1) day per financial year.
- 9.4. Un-availed Annual Medical Health Checkup Leave will lapse at the end of the leave period.

10. MATERNITY LEAVE

As per the provisions of the Maternity Benefits Act, female employees who have been in the continuous employment of the company for not less than 80 days prior to the date of commencement of maternity leave will be allowed maternity leave on full pay up to 26 weeks basis submission of relevant medical certificates by treating doctor. Furthermore, an employee is allowed to combine un-availed leave with maternity leave up to a period of one month post 26 weeks provided any medical complications arises out of delivery.

- 10.1. Maternity Leave must be availed in continuation without any break for a period of twenty-six (26) weeks out of which maximum twelve (12) weeks can be prior to the delivery and balance leave post-delivery.
- 10.2. Total number of leaves availed including maternity leave must not exceed 30 weeks in continuation. Any extension of leave beyond 30 weeks will be treated as Leave Without Pay and Management reserves all rights to decide on the outcome of any such case.
- 10.3. Maternity leave will be in addition to other leave entitlements.
- 10.4. Crèche facilities are made available for eligible employees to support childcare needs during working hours and women employees returning to work after childbirth are entitled to nursing breaks during the workday. For further details around this please reach out to your respective BHR.
- 10.5. PFL will safeguard women employees from dismissal or any adverse modification of their terms of employment during maternity leave.
- 10.6. In case of miscarriage or medical termination of pregnancy, an employee will, on production of such proof as may be prescribed, be entitled to leave with wages for a period of six weeks immediately following the day of miscarriage, or as the case may be, medical termination of pregnancy.
- 10.7. An employee undergoing Tubectomy is entitled for leave with full wages for a period of two weeks immediately following the day of her Tubectomy procedure.

11.ADOPTION LEAVE

- 11.1. In case of adoption, an employee, on production of such proof, will be entitled to leave with wages for a period of twelve (12) weeks immediately following the day of her adoption.
- 11.2. Paid adoption leaves of twelve (12) weeks is applicable for women employees from the date when the child is handed over, provided the child is less than three (3) months old.

12.PATERNITY LEAVE

- 12.1. All male employees can avail Paternity Leave up to a maximum of seven (7) days provided appropriate balances exist in the CL/ PL account.
- 12.2. Any paternity leave taken will first get adjusted against the Casual Leave balance. In case, Casual Leave has already been exhausted, then the adjustment will be against the Privilege Leave balance.

- 12.3. Paternity leave can be availed only twice during the entire tenure with the organization with a gap of fifteen (15) months.
- 12.4. Employee is required to inform the reporting manager and BHR before proceeding on paternity leave.

13. SABBATICAL

- 13.1. This manual applies to all PFL full time women employees who have completed a minimum of three (3) years of continuous service with the organization.
- 13.2. Employees availing sabbatical leave must not be on an active Performance Improvement Plan (PIP)
- 13.3. This leave type will be dependent on Business Head and Head HR approvals and should be routed through the Reporting Manager and HRRM including reason, proposed dates, and supporting documents, at least 30 days before the start date.
- 13.4. The duration of sabbatical leave can range from a minimum of three (3) months to a maximum of six (6) months.
- 13.5. Sabbatical leave may be availed once every five (5) years of continuous service
- 13.6. All statutory benefits will be paused during this leave period. Group Medical Coverage (GMC) and Group Term Life Insurance (GTL) will continue as per the existing manual. No new riders or enhancements will be added during the sabbatical period.) (Group Personal Accident Insurance (GPA) coverage will not be extended during sabbatical leave.)

14. HALF DAY HALF PAY

- 14.1. In addition to the post maternity transition support, the company offers a “Half Day, Half Pay” option for returning mothers to help balance professional and personal responsibilities during the transition back to work by offering a structured half-day work arrangement with proportional compensation.
- 14.2. It is applicable to all PFL full time women employees for caregiving responsibilities (childcare, child adoption, abortion, or other critical health issues) and transitional return from maternity or extended leave.
- 14.3. Employees may opt for a half-day schedule (5 hours/day inclusive of a 30 min break) with compensation adjusted to 50% of full-time salary; benefits such as medical insurance, ESOPs, statutory leave, and retirement contributions will continue as per applicable laws.

- 14.4. The duration of this arrangement can range from a minimum of 3 months to a maximum of 12 months.
- 14.5. Employee must submit a formal request via email to Reporting Manager and HRRM who will eventually seek the approval from Business Head and Head HR. Request must be submitted with proper reason, proposed dates, and supporting documents, at least 5 working days prior to the start date.
- 14.6. The arrangement can be made effective from the 1st of the month only

15. APPROVED ABSENCE

- 15.1. Absence from work due to unforeseen circumstance like natural calamity, bandh, elections, curfew, etc. will be treated as approved absence provided such absence is approved by HR and the employee's reporting manager.

16. BEREAVEMENT LEAVE

- 16.1. To support employees during family exigency, leaves will be granted on the demise of close relatives or dependents (spouse, children, parents, in-laws, brothers and sisters).
- 16.2. The number of leaves granted will take into consideration the relationship with the deceased and domestic responsibilities but will not exceed five (5) days.
- 16.3. The bereavement leave is over and above the PL/ CL/ SL.
- 16.4. The reporting manager and BHR needs to be informed before bereavement leave is taken.

17. EDUCATION LEAVE

- 17.1. PFL has always encouraged its employees to invest in career development and professional advancement. Education leaves facilitate the achievement of this objective. While we provide multiple platforms for employee development, we encourage employees to pursue self-learning opportunities.
- 17.2. Employee will be allowed to take up to five (5) days for role enhancement courses only.
- 17.3. Employees are required to seek prior approval from reporting manager at least a month in advance before proceeding on such leave.
- 17.4. Any education leave will first get adjusted against the Casual Leave balance. In case, Casual Leave has already been exhausted then the adjustment will be against the Privilege Leave balance.

18. COMPENSATORY OFF

- 18.1. PFL keeps a provision for full time non corporate roles at PFL to avail a Compensatory Leave if they have worked on a non-working day owing to business exigency, with the aim of promoting employee well-being,
- 18.2. The compensatory off must be availed within 30 days of working on a non-working day by applying on HRMS.
- 18.3. The compensatory leave must be applied in advance and must begin only once approved by the Reporting Manager/
- 18.4. Employees can avail such compensatory off only once a month.

19. WORK FROM HOME

- 19.1. PFL provides further flexibility to all PFL employees by extending the Work from Home (WFH) option. Female employees may avail Three WFH in a month and Male employees may avail Two WFH in a month.
- 19.2. WFH must be availed by applying on HRMS and is subject to approval of the respective manager.
- 19.3. The WFH must be approved prior to its commencement.
- 19.4. WFH cannot be accrued if not availed.
- 19.5. Employees are expected to be available on MS Teams, phone and work e-mails during the entire shift of 8.30 hours barring a 30-minute lunch break.

20. RELOCATION/ TRANSFER LEAVE

- 20.1. Applicable only in cases of employee transfers initiated by the organization.
- 20.2. Employees are eligible for three (3) working days of Relocation Leave
- 20.3. This leave will be adjusted from the CL/ PL account.
- 20.4. Leave must be approved by the new Reporting Manager and Business HR must be informed when the leave is availed.
- 20.5. Relocation Leave is strictly for activities related to the employee's transfer and this leave cannot be carried forward or encashed.

21. SYNOPSIS

LEAVE CATEGORY	NO. OF WORKING DAYS	CREDIT PER MONTH	CARRY FORWARD	ACCUMULATION (MAX UP TO)	ENCASHMENT
Privilege Leave (PL)	18 per year	1.5	Yes	Maximum up to 45 days	On separation (Maximum up to 45 days)
Casual Leave (CL)	12 per year	1	No	-	-
Sick Leave (SL)	12 per year	All in advance	No	-	-
Menstrual Leave	12 per year	1	No	-	-
Annual Health Check Up	1 per year	In advance	No	-	-
Maternity Leave	As per Maternity Benefit Act	-	-	-	-
Adoption Leave	As per Maternity Benefit Act	-	-	-	-
Paternity Leave	7	-	-	-	-
Bereavement Leave	Up to 5	-	-	-	-
Mandatory Leave	Manager and below – 3 Senior Manager & above – 5	-	-	-	-
Education Leave	Up to 5	-	-	-	-

22. UNPAID LEAVE/ LEAVE WITHOUT PAY

- 22.1. The company does not encourage unpaid leaves and will approve such leaves only in extraordinary circumstances that are beyond an employee's control whereby they need to take leaves over and above their leave balance. Hence, unpaid leave is more of an outcome of unavoidable circumstances that an individual has had to face and cannot have prior authorization. Such leaves may be granted in special cases at the discretion of the reporting manager, business head and BHR. Base salary would be used for calculating loss of pay in such cases.
- 22.2. Absence without duly sanctioned leave beyond ten (10) days will be treated as "absconding from services" and will be considered adequate reason for termination of employment.
- 22.3. In the event of circumstances beyond control or where prior permission could not be obtained; an employee should intimate their reporting manager about their inability to attend office. The leave application, however, could be submitted on resuming duty.

23. HALF-DAY LEAVE GUIDELINES

- 23.1. To qualify for a half day, an employee must complete 5.5 hours of work (including breaks). Failure to complete 5.5 hours will result in marking full-day leave.
- 23.2. If an employee intentionally extends a half day to a full day/ or fails to keep the manager/HOD informed, the organization reserves the right to take appropriate action as deemed necessary.

24. LEAVE ADMINISTRATION

- 24.1. Employees are expected to adhere to official work timings.
- 24.2. All leaves must be applied on HRMS tool - leave module and employees need to ensure that reporting manager approval is taken.
- 24.3. While we wish for all employees to avail approved time off from work, it is possible that due to specific business exigencies, leave applied for maybe denied and alternate dates agreed upon.

25. ATTENDANCE REGULARIZATION

- 25.1. Employees must regularly update attendance on the HRMS platform.
- 25.2. All attendance regularizations and leave updates must be completed before the 20th of each month prior to the Payroll cycle which is 21st of the previous month to the 20th of the current month.
- 25.3. Regularization is permitted only within 30 days of the event and not beyond.
- 25.4. Attendance tracking will be done for all full-time employees except KMPs and SMPs who will be deemed present.

26. OFFICIAL WORK TIMINGS

- 26.1. Standard office timings: 10:00 AM to 6:30 PM, with a 30-minute lunch break anytime between 10:00 AM and 3:00 PM.
- 26.2. Employees in field or customer-facing roles may have varying work hours depending on role requirements.
- 26.3. Staggered shifts are available to employees at the Corporate Office/ Head Office/ some Location Offices

27. ROLES AND RESPONSIBILITIES

27.1. Employee

- 27.1.1. Employee shall ensure all requests for leaves or regularization are made well in advance.
- 27.1.2. It is advised that an employee should inform the reporting manager before applying for leaves in the system.
- 27.1.3. Employee shall abide by the rules and regulations diligently.
- 27.1.4. Employee shall ensure all leave and regularization requests are made on the HRMS tool only in a timely manner.
- 27.1.5. Employee to ensure leave planning to ensure business continuity.

27.2. Reporting Manager

- 27.2.1. Reporting managers are advised to review and act on all leave applications within a maximum of four (4) calendar days from the date of submission. Managers must ensure that no leave request remains pending beyond this prescribed timeframe, as timely review

is essential for workforce planning and compliance. Please note that in the absence of any action from the supervisor in the time frame of 15 days, leaves will be auto approved.

27.2.2. All leave requests to be approved well within advance of the leave date.

27.2.3. Managers to keep respective BHR updated on any misuse of the leave manual.

27.2.4. Managers to ensure that the regularization approvals are done cautiously.

27.2.5. Reporting manager shall be responsible to drive discipline in the team and shall be held responsible if any team member is found violating the leave manual.

27.3. Business Head

27.3.1. All Business Heads to ensure all approved leaves do not hamper critical deliverables of the department.

27.3.2. Business Heads to keep respective BHR updated on any misuse of the leave manual.

27.4. Business HR (BHR)

27.4.1. BHR to ensure regular communications go out to employees for fair utilization of their leaves.

27.4.2. BHR to report any misuse of the leave manual to the HR Compliance team.

27.5. HR Ops

27.5.1. HR Ops to ensure all leave encashments are updated within timeline.

27.5.2. All leaves to be updated on HRMS monthly.

28.EXCEPTION MANAGEMENT

28.1.1. Any exception to the leave manual will require approval from Head – HR and CHRO.

29.AMMENDMENTS TO LEAVE MANUAL

29.1.1. HR Operations will oversee the implementation of this leave manual and periodically review its functioning. Changes to the manual, if any, will be approved by CHRO.